

## ***Calculating EPS***

*The EPS formula does include preferred for categories outside of continued operations and net income. Earnings per share for continuing operations and net income are more complicated in that any preferred dividends are removed from net income before calculating EPS. This is because preferred stock rights have precedence over common stock. If preferred dividends total 100,000, then that is money not available to distribute to each share of common stock.*

*Earnings Per Share (Basic Formula)*

*Earnings Per Share=Profit/Weighted Average Common Shares*

*Earnings Per Share (Net Income Formula)*

*Definition of 'Price-Earnings Ratio - P/E Ratio'*

*A valuation ratio of a company's current share price compared to its per-share earnings.*

*Calculated as:*